

**TWENTY-FOURTH NORTHERN MARIANAS COMMONWEALTH
LEGISLATURE**

IN THE HOUSE OF REPRESENTATIVES

Session, 2026

H. B. 24-110

A BILL FOR AN ACT

To promote coordination between the Marianas Visitors Authority and the Commonwealth Council for Arts and Culture for the promotion of Commonwealth culture and cultural tourism; to preserve the independence of the Commonwealth Council for Arts and Culture as the Commonwealth's State Arts Agency; to establish minimum governance, accountability, and artist-payment standards; and for other purposes.

**BE IT ENACTED BY THE 24TH NORTHERN MARIANAS
COMMONWEALTH LEGISLATURE:**

1 **Section 1. Short Title.** This Act may be cited as the “Marianas Cultural-
2 Tourism Integration Act of 2026.”

3 **Section 2. Findings and Purpose.**

4 The Legislature makes the following findings:

5 The culture, history, traditions, arts, and indigenous heritage of the
6 Commonwealth are essential public resources and important components of the
7 Commonwealth's tourism identity;

8 The Marianas Visitors Authority (“MVA”) is authorized under 4 CMC §
9 2103 to promote indigenous arts and crafts, preserve the cultural heritage of the

1 indigenous peoples of the Commonwealth, and coordinate with Commonwealth
2 departments and agencies in furtherance of its statutory purposes;

3 The Commonwealth Council for Arts and Culture (“CCAC”) serves as the
4 Commonwealth's designated State Arts Agency for purposes of federal arts
5 programs administered by the National Endowment for the Arts (NEA) and must
6 maintain the independence necessary to satisfy applicable federal requirements;

7 Greater coordination between MVA and CCAC can strengthen cultural
8 tourism, expand opportunities for Commonwealth artists and cultural practitioners,
9 and more effectively present the Commonwealth's cultural heritage to residents and
10 visitors;

11 The Legislature further finds that the continued receipt and responsible
12 administration of federal arts funding requires effective governance, financial
13 controls, timely administration of grants and payments, transparency, and prompt
14 corrective action when material deficiencies are identified; and

15 Executive Order 2026-014’s structural transfer of CCAC to MVA
16 supervision is incompatible with federal SAA eligibility requirements. The
17 Legislature is hereby exercising its authority under CNMI Constitution Article III,
18 Section 15 to disapprove EO 2026-014 to allow CCAC to establish by statute the
19 organizational independence required by federal law; and

20 The purposes of this Act can best be accomplished by establishing clear
21 legislative policy and accountability standards while preserving the existing legal

1 authority and administrative responsibilities of MVA, CCAC, DCCA, the
2 Department of Finance, the Office of the Attorney General, and other
3 Commonwealth agencies.

4 **Section 3. Amendment to 4 CMC § 2103.**

5 4 CMC § 2103 is amended by adding a new subsection (s) to read:

6 **“(s) Coordination with the Commonwealth Council for Arts and
7 Culture.**

8 In carrying out its responsibilities relating to indigenous arts, cultural
9 heritage, and tourism promotion, the Authority shall coordinate with the
10 Commonwealth Council for Arts and Culture in accordance with 4 CMC § 2130.

11 Nothing in this subsection shall authorize the Authority to direct, approve,
12 reject, or otherwise control any grant decision or other function reserved to CCAC
13 under applicable Commonwealth or federal law.”

14 **Section 4. Joint Cultural-Tourism Program.**

15 A new 4 CMC § 2130 is enacted to read:

16 **“§ 2130. Joint Cultural-Tourism Program.**

17 **(a) Establishment.** There is established a Joint Cultural-Tourism Program
18 between MVA and CCAC for the purpose of coordinating cultural programming
19 with Commonwealth tourism promotion.

1 **(b) Annual Coordination Plan.** MVA and CCAC shall jointly develop an
2 annual Cultural-Tourism Coordination Plan identifying appropriate opportunities
3 to:

4 (1) incorporate Commonwealth arts, culture, history, and traditions into
5 tourism promotion;

6 (2) promote Chamorro and Carolinian artists, artisans, cultural practitioners,
7 and cultural organizations;

8 (3) coordinate cultural events and tourism-related promotional activities; and

9 (4) identify opportunities for collaboration consistent with the respective
10 legal authority, appropriations, and available resources of each agency.

11 **(c) Agency Independence.** Nothing in this section shall:

12 (1) merge, consolidate, or transfer the powers or responsibilities of MVA or
13 CCAC;

14 (2) authorize MVA to participate in the selection, approval, ranking, or
15 administration of CCAC grants;

16 (3) authorize CCAC to direct MVA's expenditure of funds or exercise
17 authority otherwise vested in MVA;

18 (4) authorize the transfer or expenditure of funds except as otherwise
19 permitted by law and appropriation; or

1 (5) diminish any authority or responsibility vested by law in DCCA, the
2 Department of Finance, the Office of the Attorney General, or any other
3 Commonwealth agency.

4 (d) **Federal Compliance.** Activities undertaken pursuant to this section shall
5 comply with all applicable federal requirements governing CCAC's designation and
6 operation as the Commonwealth's State Arts Agency and the administration of
7 National Endowment for the Arts funding."

8 **Section 5. Protection of CCAC State Arts Agency Status.**

9 (a) CCAC shall remain the Commonwealth's designated State Arts Agency
10 for purposes of applicable federal arts programs.

11 (b) Nothing in this Act shall be construed to merge CCAC into MVA or to
12 transfer CCAC's authority over federally funded arts grants to MVA or any other
13 Commonwealth agency.

14 (c) CCAC shall retain independent authority over the evaluation, selection,
15 approval, and administration of grants to the extent required by applicable federal
16 law and grant conditions.

17 (d) Nothing in this Act shall be construed to supersede Executive Order 94-3
18 except to the extent expressly provided by law.

19 **Section 6. CCAC Governance and Accountability.**

20 (a) **Continued Placement Within DCCA.** The Commonwealth Council for
21 Arts and Culture shall remain allocated to the Department of Community and

1 Cultural Affairs for purposes of administration and coordination. Nothing in this
2 Act shall be construed to transfer CCAC to the Marianas Visitors Authority or to
3 diminish the lawful administrative authority of the Department of Community and
4 Cultural Affairs.

5 **(b) State Arts Agency Authority.** Notwithstanding its administrative
6 placement within DCCA, CCAC shall retain such independent authority as is
7 necessary to perform its duties as the Commonwealth's designated State Arts
8 Agency and to comply with applicable federal law and the terms and conditions of
9 awards administered by the National Endowment for the Arts.

10 Consistent with applicable law and federal award requirements, CCAC shall
11 retain authority over:

- 12 1. the development and administration of the Commonwealth's State arts plan
13 and arts and cultural policies within CCAC's jurisdiction;
- 14 2. the establishment and application of criteria governing CCAC grant
15 programs;
- 16 3. the evaluation, ranking, selection, approval, and administration of grants
17 and subawards administered by CCAC;
- 18 4. the administration of National Endowment for the Arts Partnership
19 Agreement funds and required Commonwealth matching or cost-share
20 funds;

1 5. compliance with federal requirements applicable to CCAC as the
2 Commonwealth's State Arts Agency and as a recipient or pass-through
3 entity of federal funds; and

4 6. such other functions as must be exercised by the designated State Arts
5 Agency under applicable federal law or federal award conditions.

6 **(c) Administrative Role of DCCA.** DCCA may provide administrative,
7 personnel, procurement, fiscal, facilities, and other support to CCAC consistent
8 with Commonwealth law. Such administrative support shall not be exercised in a
9 manner that:

- 10 1. substitutes the judgment of DCCA or another Commonwealth agency for a
11 grant, subaward, arts-policy, or programmatic determination lawfully
12 vested in CCAC;
- 13 2. directs CCAC to approve, reject, rank, or select a particular grant applicant
14 or recipient;
- 15 3. causes CCAC to use federal grant funds for a purpose inconsistent with the
16 applicable federal award; or
- 17 4. otherwise prevents CCAC from satisfying a requirement applicable to its
18 designation or operation as the Commonwealth's State Arts Agency.

19 **(d) Governance and Grant Administration Standards.** CCAC shall
20 maintain written policies and procedures reasonably necessary to ensure lawful,

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- 1 fair, transparent, and accountable administration of its programs and funds,
 2 including:
- 3 1. current bylaws or other governing procedures;
 - 4 2. conflict-of-interest and recusal standards applicable to Council members,
 5 employees, grant reviewers, and other persons participating in funding
 6 decisions;
 - 7 3. written grant and subaward procedures, including eligibility requirements,
 8 evaluation criteria, review and approval procedures, documentation
 9 requirements, and procedures for identifying and addressing actual or
 10 apparent conflicts of interest;
 - 11 4. financial-management and internal-control procedures appropriate to the
 12 administration of Commonwealth and federal funds;
 - 13 5. procedures necessary to comply with applicable National Endowment for
 14 the Arts award requirements and 2 C.F.R. Part 200; and
 - 15 6. procedures for the timely processing of grants, contracts, reimbursements,
 16 and payments in accordance with Section 7 of this Act.
- 17 **(e) Documentation and Records.** CCAC shall maintain records sufficient to
 18 document material grant and funding decisions, compliance with applicable federal
 19 and Commonwealth requirements, and the expenditure of funds administered by
 20 CCAC. Such records shall be maintained and made available for audit, oversight,
 21 or public inspection to the extent required by applicable law.

1 **(f) Periodic Review.** CCAC shall periodically review its bylaws, grant
2 procedures, conflict-of-interest standards, financial controls, and other policies and
3 shall revise them as reasonably necessary to remain consistent with applicable
4 Commonwealth law, federal law, and National Endowment for the Arts
5 requirements.

6 **(g) Construction.** Nothing in this section shall be construed to:

- 7 1. remove CCAC from DCCA;
- 8 2. diminish the lawful administrative authority of the Secretary of DCCA;
- 9 3. authorize CCAC to exercise authority vested by law in the Department of
10 Finance, Treasury, the Office of the Attorney General, or another
11 Commonwealth agency;
- 12 4. authorize DCCA, MVA, or any other Commonwealth agency to exercise a
13 function reserved by law or applicable federal requirements to CCAC as the
14 Commonwealth's State Arts Agency; or
- 15 5. prescribe the day-to-day internal administrative procedures of CCAC
16 beyond the minimum governance, accountability, and compliance standards
17 established by this Act.

18 **Section 7. Artist Compensation and Payment.**

19 **(a) Compliance with Federal and Commonwealth Requirements.** CCAC
20 and recipients of CCAC-administered funds shall comply with all applicable
21 compensation, payment, financial-management, and grant requirements imposed

1 by federal and Commonwealth law and by the terms and conditions of any
2 applicable National Endowment for the Arts award, including applicable
3 requirements of 2 C.F.R. Part 200.

4 **(b) Timely Payment.** CCAC shall establish and maintain written procedures
5 to ensure the timely processing and payment of amounts lawfully due to artists,
6 performers, artisans, cultural practitioners, vendors, grantees, subrecipients, and
7 other persons or entities participating in CCAC-administered programs.

8 **(c) Processing Period.** Upon receipt of all documentation required by law
9 and the applicable grant, contract, or award, CCAC shall complete its review and
10 transmit an approved request for payment to the Department of Finance, Treasury,
11 or other appropriate disbursing authority within fifteen (15) business days, unless a
12 shorter period is required by federal law, the applicable federal award, or
13 Commonwealth law. CCAC shall record the date upon which a payment request is
14 received and, where additional documentation is required, the date upon which the
15 request becomes complete for purposes of this subsection.

16 If CCAC determines that a payment request is incomplete, deficient, or
17 cannot be approved, CCAC shall notify the person or entity awaiting payment
18 within ten (10) business days after receipt of the request and shall identify the
19 additional information or corrective action reasonably necessary to process the
20 payment.

1 **(d) Federal Grant Funds.** Funds received or administered pursuant to a
2 National Endowment for the Arts award shall be administered and disbursed in
3 accordance with the applicable federal award, federal grant requirements, and
4 applicable federal cash-management requirements. CCAC shall take all reasonable
5 administrative steps necessary to prevent avoidable delays in payment that could
6 result in noncompliance with the terms or period of performance of a federal award.

7 **(e) Payment Status and Delayed Payments.** CCAC shall maintain a
8 procedure through which a person or entity awaiting payment may obtain the
9 current status of the payment. If an approved payment remains unpaid for more
10 than thirty (30) calendar days after CCAC has transmitted all required
11 documentation to the appropriate disbursing authority, CCAC shall promptly notify
12 the Secretary of the Department of Community and Cultural Affairs and the
13 Secretary of Finance of the outstanding payment and identify any known reason for
14 the delay.

15 **(f) No Alteration of Fiscal Authority.** Nothing in this section shall authorize
16 CCAC to direct the Department of Finance, Treasury, or any other Commonwealth
17 agency to make a payment contrary to law, or alter the lawful responsibilities of
18 any Commonwealth agency involved in the review, processing, or disbursement of
19 public funds.

20 **(g) No Delay Contrary to Federal Requirements.** Nothing in this section
21 shall be construed to authorize a delay in payment where a shorter payment or

1 disbursement period is required by federal law, an applicable National Endowment
2 for the Arts award or grant condition, or other applicable law.

3 **Section 8. Annual Reporting and Accountability**

4 **(a) Annual Report.** Not later than March 31 of each year, MVA and CCAC
5 shall jointly submit to the Governor, the President of the Senate, and the Speaker
6 of the House of Representatives an annual Cultural-Tourism Coordination and
7 Accountability Report covering activities undertaken pursuant to this Act during
8 the preceding fiscal year.

9 **(b) Cultural-Tourism Activities.** The report shall describe:

- 10 1. activities undertaken pursuant to the Joint Cultural-Tourism Program;
- 11 2. cultural programming incorporated into Commonwealth tourism
12 promotion;
- 13 3. opportunities provided to Chamorro and Carolinian artists, artisans,
14 performers, cultural practitioners, cultural organizations, and other
15 Commonwealth residents;
- 16 4. cultural events, programs, exhibitions, performances, or promotional
17 activities supported or coordinated through the program;
- 18 5. the respective contributions of MVA and CCAC to activities undertaken
19 pursuant to this Act; and

1 6. measurable results, to the extent reasonably available, demonstrating the
2 effectiveness of activities undertaken pursuant to the Joint Cultural-Tourism
3 Program.

4 **(c) CCAC Funding and Grant Administration.** The CCAC portion of the
5 report shall include, in aggregate form:

- 6 1. the total amount of federal, Commonwealth, and other funds received or
7 administered by CCAC during the preceding fiscal year;
- 8 2. the amount and general source of National Endowment for the Arts funding
9 received or administered by CCAC;
- 10 3. the total amount awarded through CCAC grants and subawards;
- 11 4. the number of grants and subawards awarded and completed during the
12 fiscal year;
- 13 5. the amount of federal funds carried forward or unobligated at the close of
14 the fiscal year, and separately, the amount of federal funds returned,
15 questioned, disallowed, or subject to corrective action;
- 16 6. any material audit finding, federal grant-compliance issue, corrective-action
17 requirement, or other matter that could reasonably affect CCAC's eligibility
18 for or administration of federal arts funding; and
- 19 7. the status of any material corrective action required by the National
20 Endowment for the Arts, an auditor, or another governmental authority with
21 jurisdiction over funds administered by CCAC.

1 **(d) Artist and Vendor Payments.** The CCAC portion of the report shall
2 include:

- 3 1. the number and aggregate amount of payments processed for artists,
4 performers, artisans, cultural practitioners, vendors, grantees, and
5 subrecipients during the preceding fiscal year;
- 6 2. the number of payment requests that were not transmitted for payment
7 within the period established under Section 7 of this Act;
- 8 3. the number and aggregate amount of approved payments that remained
9 unpaid for more than thirty (30), sixty (60), and ninety (90) calendar days
10 after submission to the appropriate disbursing authority;
- 11 4. the general reasons for material payment delays, including whether such
12 delays occurred within CCAC, DCCA, the Department of Finance,
13 Treasury, or another part of the payment process; and
- 14 5. corrective actions taken or proposed to reduce recurring payment delays.

15 Nothing in this subsection shall require disclosure of confidential financial
16 information or other information protected from disclosure by law.

17 **(e) Administrative and Funding Issues.** The report shall identify any
18 significant administrative, staffing, procurement, financial, or funding issue that
19 materially affected implementation of this Act or CCAC's administration of arts
20 programs during the preceding fiscal year, together with any recommendation for
21 legislative, budgetary, or administrative action.

1 **(f) Preservation of Agency Responsibilities.** MVA shall be responsible for
2 information concerning activities and expenditures within its authority, and CCAC
3 shall be responsible for information concerning CCAC programs, grants, federal
4 awards, and State Arts Agency functions. Nothing in this section shall authorize
5 MVA to review, approve, alter, or control CCAC grant decisions or other functions
6 reserved to CCAC by law or applicable federal requirements.

7 **(g) Public Availability.** The annual report shall be made available to the
8 public in a reasonably accessible electronic format not later than thirty (30) days
9 after its submission.

10 **(h) Protection of Confidential and Deliberative Information.** Nothing in
11 this section shall require disclosure of information made confidential by federal or
12 Commonwealth law, protected personal or financial information, or confidential
13 materials relating to individual grant evaluations or deliberations. Information
14 required by this section may be reported in aggregate form where necessary to
15 protect such information.

16 **(i) Corrective Action Plan.**

17 **(1) Corrective Action Required.** If CCAC or DCCA receives notice of,
18 discovers, or identifies any of the following conditions, whether through the annual
19 report required by this section, an audit, federal notice, internal review, or
20 otherwise:

1 (A) a material or recurring failure to meet the payment-processing
2 requirements established under Section 7 of this Act, including a substantial
3 number or amount of approved payments remaining unpaid for more than ninety
4 (90) calendar days;

5 (B) a material audit finding, federal grant-compliance deficiency, questioned
6 or disallowed cost, corrective-action requirement, or other condition that could
7 reasonably affect CCAC's eligibility for, receipt of, or administration of National
8 Endowment for the Arts or other federal funding; or

9 (C) another material and recurring administrative, financial-management, or
10 grant-management deficiency affecting CCAC's ability to carry out its
11 responsibilities under Commonwealth or federal law,

12 Then CCAC, in coordination with DCCA and any other Commonwealth
13 agency responsible for the matter giving rise to the deficiency, shall prepare and
14 submit a written corrective action plan.

15 **(2) Submission.** The corrective action plan shall be submitted to the
16 Governor, the President of the Senate, and the Speaker of the House of
17 Representatives not later than sixty (60) days after the condition is identified or
18 notice thereof is received, or within any shorter period required by applicable
19 federal law, federal award conditions, an audit determination, or a corrective-action
20 directive.

21 **(3) Contents.** The corrective action plan shall:

- 1 (A) identify the material deficiency or recurring problem;
- 2 (B) identify, to the extent reasonably ascertainable, the cause of the
- 3 deficiency or problem and the agency or entity responsible for the portion of the
- 4 process in which it occurred;
- 5 (C) describe the corrective measures taken or proposed;
- 6 (D) identify the Commonwealth agency, officer, or other entity responsible
- 7 for implementing each material corrective measure;
- 8 (E) establish a reasonable timetable for implementation and resolution;
- 9 (F) identify any legislative, budgetary, staffing, regulatory, or administrative
- 10 action necessary to resolve the deficiency; and
- 11 (G) where federal funds are implicated, describe the measures being taken to
- 12 protect continued compliance with the applicable federal award and CCAC's
- 13 eligibility for federal arts funding.
- 14 **(4) Follow-Up Reporting.** If a material deficiency identified in a corrective
- 15 action plan remains unresolved one hundred eighty (180) days after submission of
- 16 the plan, CCAC and DCCA shall provide the Governor, the President of the Senate,
- 17 and the Speaker of the House of Representatives with a written status report
- 18 describing the actions taken, the matters remaining unresolved, and the anticipated
- 19 date of resolution. Additional status reports shall be provided every one hundred
- 20 eighty (180) days thereafter until the material deficiency has been resolved.

1 **(5) Responsibility of Other Agencies.** Nothing in this subsection shall
2 require CCAC or DCCA to assume responsibility for a deficiency or delay
3 attributable to the Department of Finance, Treasury, or another Commonwealth
4 agency. When corrective action requires action by another Commonwealth agency,
5 the corrective action plan shall identify that agency and the action reasonably
6 necessary to resolve the matter.

7 **(6) Federal Requirements Control.** Nothing in this subsection shall delay,
8 supersede, or substitute for any corrective action, reporting obligation, repayment
9 requirement, or other remedy required by the National Endowment for the Arts,
10 another federal agency, an auditor, or applicable federal law or award conditions.

11 **Section 9. Severability.** If any provisions of this Act or the application of
12 any such provision to any person or circumstance should be held invalid by a court
13 of competent jurisdiction, the remainder of this Act or the application of its
14 provisions to persons or circumstances other than those to which it is held invalid
15 shall not be affected thereby.

16 **Section 10. Savings Clause.**

17 **(a) Existing Federal Awards.** Nothing in this Act shall impair, terminate,
18 modify, or otherwise affect any grant, cooperative agreement, Partnership
19 Agreement, award, or other federal funding received or administered by the
20 Commonwealth Council for Arts and Culture prior to the effective date of this Act.
21 All such awards and funds shall continue to be administered in accordance with

1 their existing terms and conditions, applicable federal law, and applicable National
2 Endowment for the Arts requirements.

3 **(b) Existing CCAC Grants and Subawards.** Any grant, subaward, funding
4 commitment, or other financial assistance awarded or approved by CCAC prior to
5 the effective date of this Act shall remain valid and enforceable according to its
6 terms. Nothing in this Act shall require the reconsideration, rescission, or
7 reapproval of a grant or subaward lawfully awarded or approved before the
8 effective date of this Act.

9 **(c) Existing Contracts and Obligations.** Nothing in this Act shall impair or
10 otherwise affect any lawful contract, purchase order, agreement, obligation, or
11 payment commitment entered into or incurred by or on behalf of CCAC before the
12 effective date of this Act. Such contracts and obligations shall continue to be
13 administered and satisfied in accordance with their terms and applicable law.

14 **(d) Pending Applications and Proceedings.** Any grant application, payment
15 request, reimbursement request, contract action, administrative review, audit,
16 corrective-action proceeding, or other matter pending before or involving CCAC
17 on the effective date of this Act shall continue without interruption and shall be
18 completed in accordance with applicable law and federal award requirements. To
19 the extent reasonably practicable, the governance, processing, payment, reporting,
20 and accountability requirements established by this Act shall apply to pending
21 matters after the effective date.

1 **(e) Existing Rights and Liabilities.** Nothing in this Act shall extinguish,
 2 impair, or otherwise affect any right, entitlement, duty, obligation, liability, claim,
 3 or cause of action accrued or existing before the effective date of this Act.

4 **(f) Federal Compliance.** Nothing in this section shall be construed to
 5 authorize the continuation of any practice, expenditure, grant, contract, or other
 6 action that is inconsistent with applicable federal law, the terms and conditions of
 7 a federal award, National Endowment for the Arts requirements, or Commonwealth
 8 law.

9 **Section 11. Effective Date.** This Act shall take effect upon its approval by
 10 the Governor, or it becoming law without such approval.

Prefiled: 9/24/2024

Date: 09/24/26

Introduced by:

Rep. Julie Marie A. Ogo

Rep. Marissa R. Flores

Reviewed for legal sufficiency by:

House Legal Counsel

Date: 9-24-26